NOTE 10: INCOME TAXES

The income tax provision for the years ended December 31, 2000, 1999 and 1998 includes the following (table in thousands):

	2000	1999	1998
Current provision:			
Current	$ 20,772	$ 1,520	$ 422
Deferred	(8,833)	929	--
	$ 11,939	$ 2,449	$ 422

A reconciliation between our effective tax rate and the U.S statutory rate for the years ended December 31, 2000, 1999 and 1998 follows:

	2000	1999	1998
Tax at U.S. statutory rate	35.0%	35.0 %	35.0 %
Change in valuation allowance	(18.6)	(33.2)	(30.0)
State taxes, net of federal benefit	4.2	4.6	--
Research and experimentation credit	(3.7)	(4.6)	(4.7)
Other	0.3	3.6	1.6
	17.2%	5.4 %	1.9 %

The tax impacts generated under our employee stock option and purchase plans decreased and increased the current taxable income by $11,294,000 and $3,372,000 in 2000 and 1999, respectively. Such impacts were recorded to additional paid-in capital.

The following table summarizes the tax effects of temporary differences that give rise to significant portions of the deferred tax assets and liabilities at December 31, 2000 and 1999 (table in thousands):

	2000	1999
Deferred tax assets:		
Accrued expenses	$ 1,847	$ 1,782
Property and equipment, principally due to difference in depreciation	2,747	1,825
Deferred rent expense	1,140	922
Inventories	193	448
Capitalized state research and experimentation costs	6,946	2,287
Acquired technology rights	3,557	4,058
Research and experimentation credit	32,009	12,600
Net operating loss carryforwards	78,093	31,152
Other tax assets	4,214	2,438
Total gross deferred tax assets	130,746	57,512
Valuation allowance	(130,746)	(57,512)
Deferred tax liability	(5,620)	(5,620)
Net deferred taxes	$ (5,620)	$ (5,620)

In 2000 and 1999, we recognized an increase in the valuation allowance of $73,234,000 and $9,948,000, respectively. In 1998, we recognized a decrease in the valuation allowance of $173,000. At December 31, 2000 and 1999, we had a valuation allowance equal to our deferred tax assets since we have not established a pattern of profitable operations for income tax reporting purposes.

As of December 31, 2000, we had net operating loss and research and experimentation tax credit carryforwards for Federal income tax purposes of approximately $211,000,000 and $25,000,000, respectively, which expire beginning in 2006 and 2001, respectively. Net operating loss carryforwards and research and experimentation tax credit carryforwards as of December 31, 2000 for state income tax purposes are approximately $49,000,000 and $7,000,000, respectively, which expire beginning in 2003.